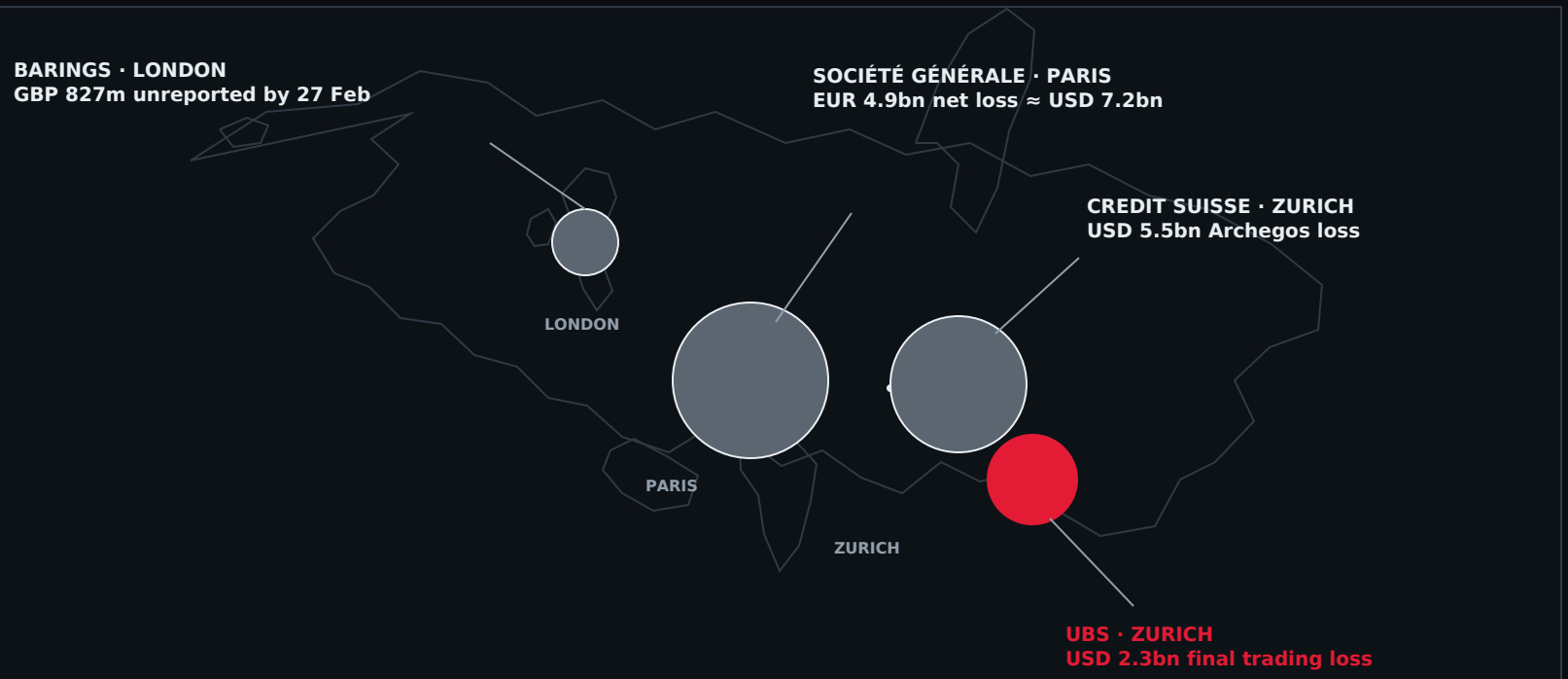
A map of four defining trading-loss events

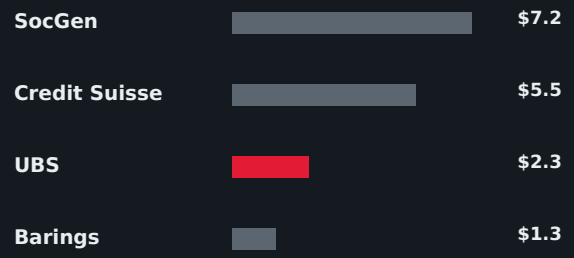


Barings close-out loss: GBP 927m incl. closure costs. Archegos was counterparty default—not rogue trading.

EXECUTIVE TAKEAWAY

UBS 2011 became one of the largest unauthorized trading losses in European banking.

APPROXIMATE USD LOSS SCALE · USD bn



Approximate historical FX conversions; nominal amounts only.

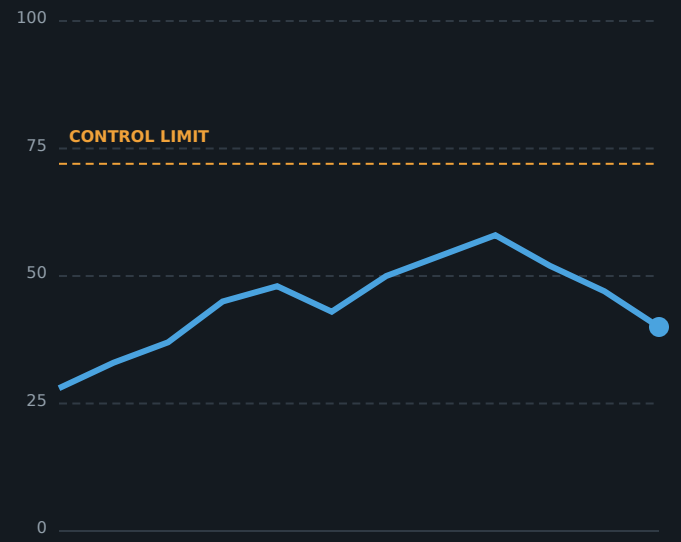
Group CEO briefing · Supervisor Jamil Chaftar · Diouf · Minang · Métayer · Abou-Tayeh

Sources: [1]–[4]. Bubble area uses approximate nominal USD equivalents at event dates; not inflation-adjusted.

Control dashboard: activity, hidden exposure and UBS facts

01 CONTROLLED ACTIVITY

Illustrative normalized risk index

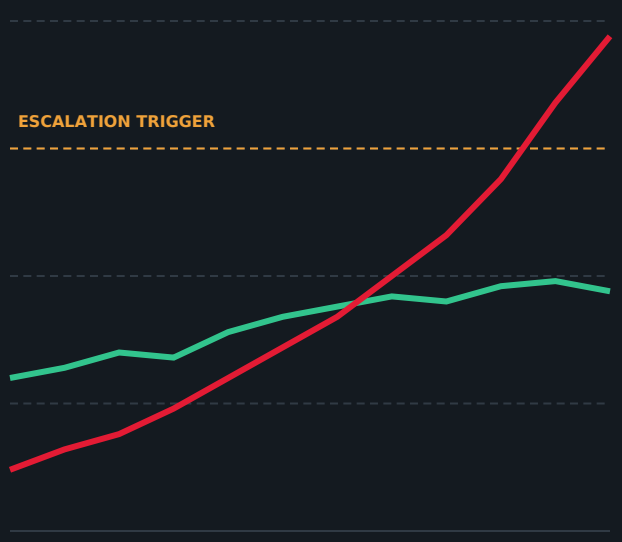


Normal controls keep activity below limit; exceptions trigger review.

GREEN · NORMAL | AMBER · WATCH | RED · CRITICAL

02 EXPOSURE BUILDS

Illustrative hidden exposure index



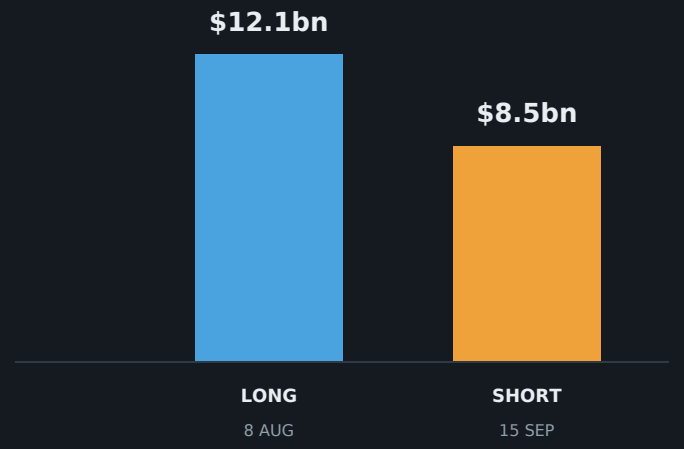
When hidden exposure diverges from reported activity, controls are already late.

Reported activity — Hidden exposure

03 UBS · SOURCED FACTS

Peak futures notionals / final loss

PEAK GROSS FUTURES POSITIONS



FINAL TRADING LOSS · USD 2.3bn

Positions shown are gross notional, not P&L.

No synthetic UBS time series shown.

UBS facts: [4] FINMA / [5] FCA. Panels 1–2 are illustrative normalized profiles, not historical UBS time series.

How a trading position becomes a Treasury cash problem

BUY SIDE
Asset managers · funds · institutional clients

→

SELL SIDE · UBS INVESTMENT BANK
Client facilitation · ETF / Delta One desk

CLIENT ORDER 01
Buy / sell request

→

ETF / DELTA ONE 02
Position built

→

TRADING BOOK 03
Hedge / futures

→

SETTLEMENT 04
Margin / collateral

→

TREASURY 05
Cash by entity / currency

FAILURE TRANSMISSION · ONE HIDDEN POSITION CAN CREATE MULTIPLE CASH CALLS

HIDDEN POSITION
Exposure not visible

→

MARK-TO-MARKET
Loss recognized

→

MARGIN / SETTLEMENT
Cash due by cutoff

→

COLLATERAL LOCK-UP
Liquidity unavailable

→

FUNDING GAP
Treasury action required

P&L is an accounting outcome; liquidity is cash available at the right entity, currency and time.

Simplified process based on [4]–[5]. Funding needs depend on settlement timing, margin and collateral—not P&L alone.

Discovery was sudden; the exposure had accumulated over years

2010

CONCEALMENT

Fictitious / offsetting entries obscure positions; controls fail to reconcile.

8 AUG 2011

LONG PEAK

Long futures peak at USD 12.1bn; gross notional, not P&L.

15 SEP 2011

SHORT PEAK

Short futures reach USD 8.5bn; gross notional, not P&L.

14 SEP 2011

DISCOVERY

Trading loss found; initial estimate about USD 2bn.

18 SEP 2011

RISK COVERED

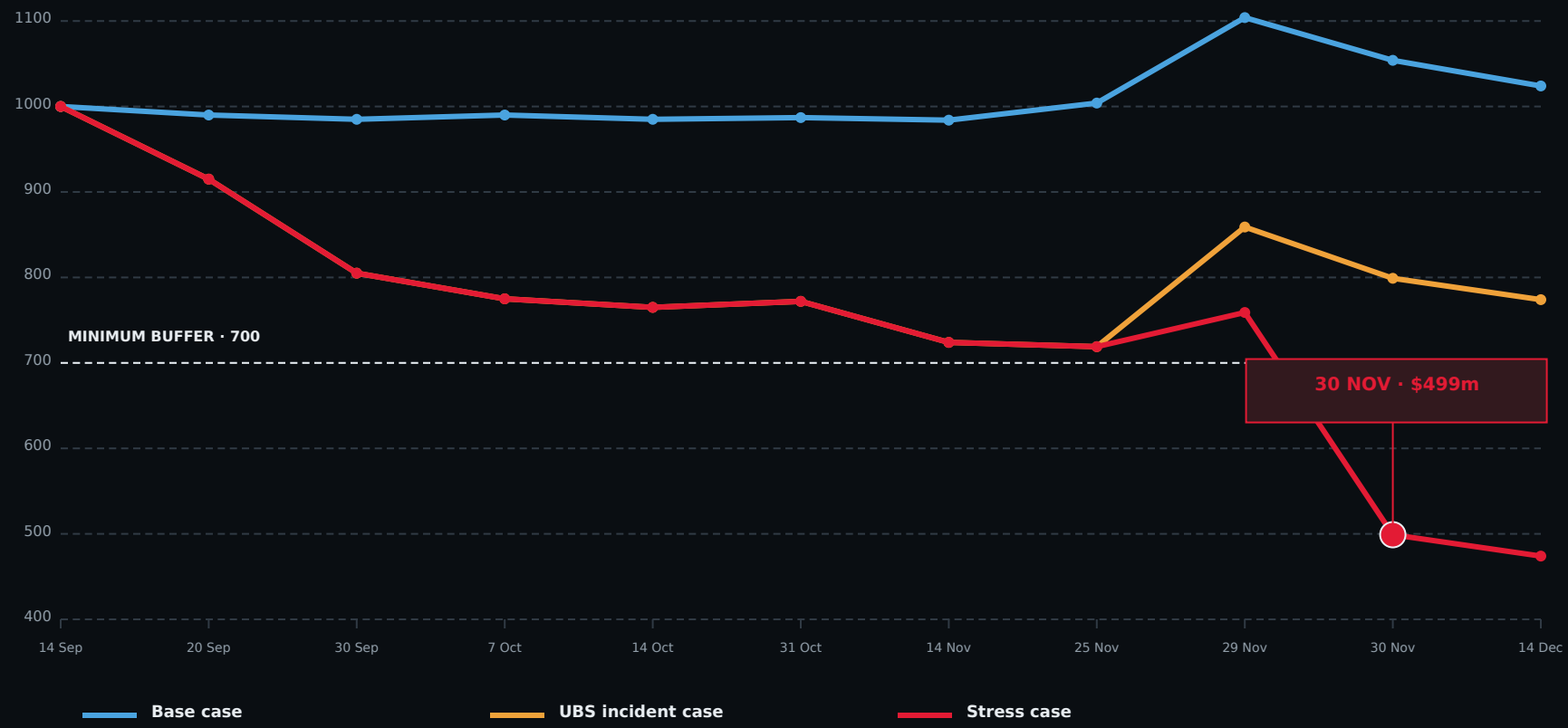
Risk covered by 18 Sep; exposure no longer open.

WHAT TREASURY KNEW AT DISCOVERY

Initial estimate: ~USD 2bn. UBS revised the final estimate to USD 2.3bn on 4 October.

Sources: [4] FINMA; [5] FCA; [6] UBS 2011 disclosures. Notional positions are not losses.

Liquidity headroom becomes the decisive control metric



STRESS DECISION

FIRST BUFFER BREACH

30 Nov · USD 499m

USD 201m below buffer

MINIMUM STRESS CASH

USD 474m

PEAK FUNDING NEED

USD 226m

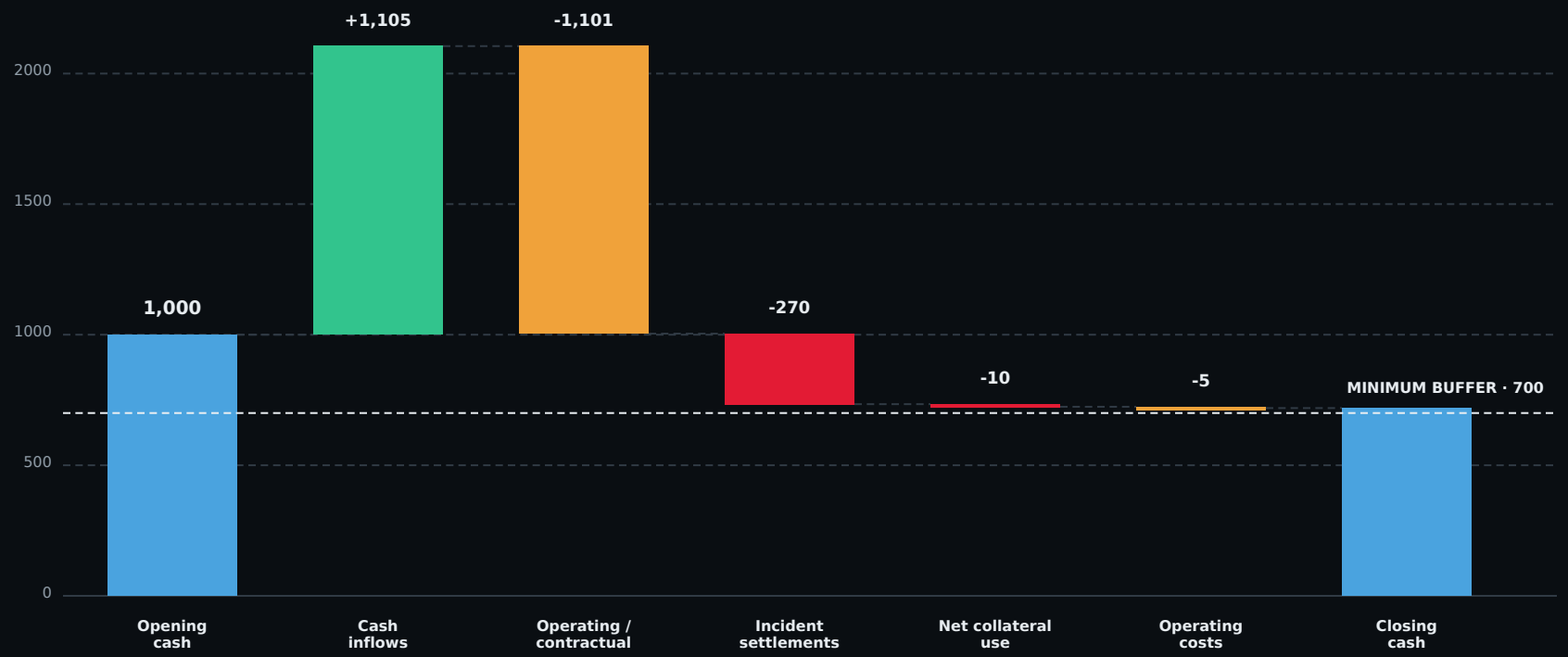
USD 250m FACILITY · T+2

Draw ≥ USD 226m by 25 Nov
for 29 Nov cash.

Incident path stays above buffer; stress path breaches.

Illustrative scenario only—not UBS historical daily cash data. Assumptions and values are teaching inputs (USDm).

Cash waterfall: distinguish loss from cash settlement



Period: 14–30 September · Hypothetical movements sized for liquidity teaching.

CASH CONTROL

OPENING CASH

1,000

CLOSING CASH

719

BUFFER HEADROOM

19

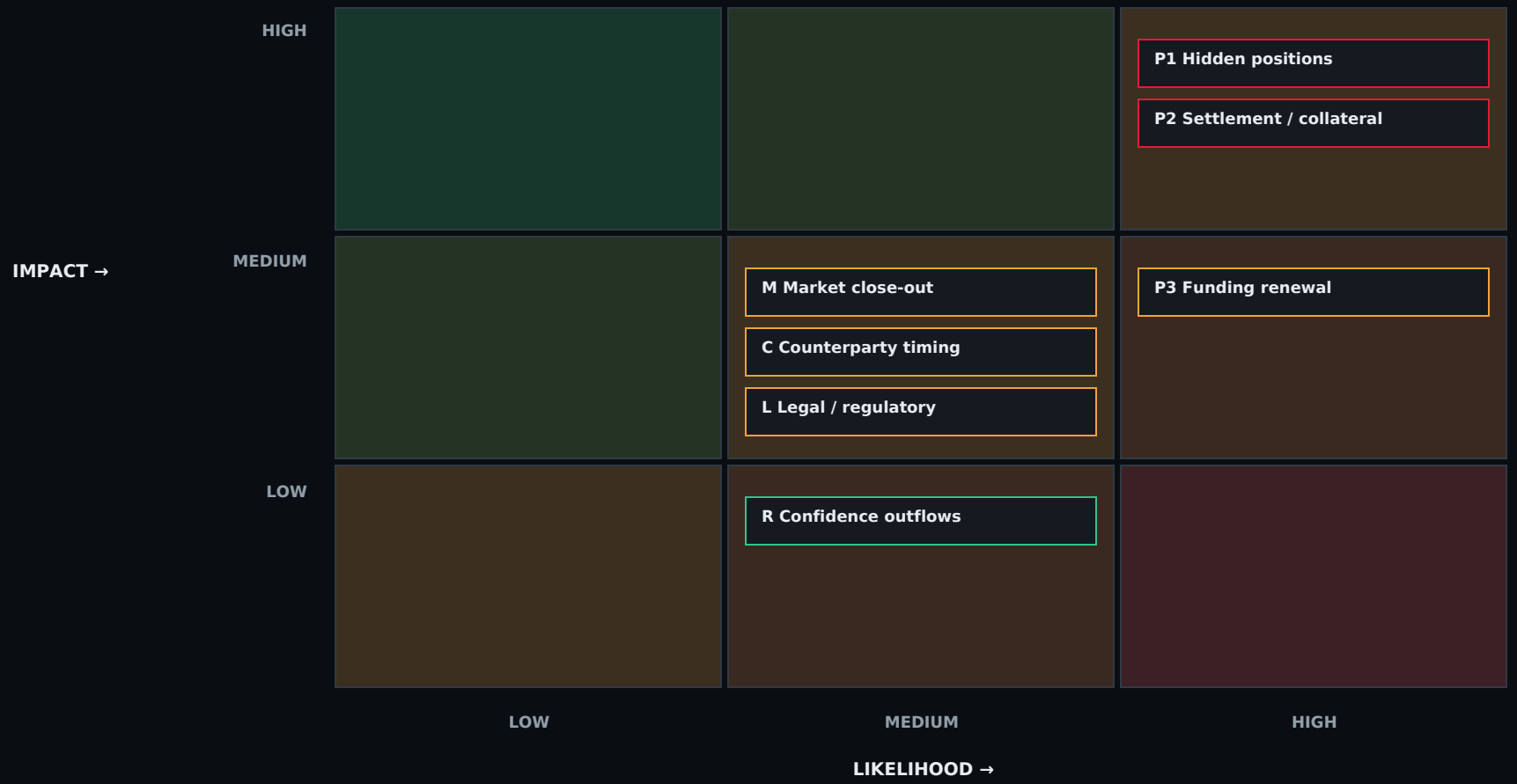
RECONCILIATION

1,000 + 1,105 − 1,101 − 270 − 10 − 5 = 719

P&L describes value lost; settlement describes cash timing. Do not double-count.

Teaching scenario, not historical UBS cash flows. Net loss is not added to settlement or collateral payments.

Residual risks require clear owners and trigger-based escalation



RISK DRIVERS

P1 · Position risk

Repeated concealment raises likelihood; large positions raise impact.

P2 · Cash calls

Settlement cutoffs and collateral lock-up can reduce cash quickly.

P3 · Funding

Renewal gaps are plausible; entity access drives impact.

M / C · Market

Close-out cost and counterparty timing drive cash volatility.

R / L · Franchise

Confidence outflows and regulatory action amplify the shock.

Qualitative scoring: likelihood × impact. Residual risk after immediate controls; judgemental, not a regulatory rating.

Three CFO actions protect liquidity and restore control

01 SECURE LIQUIDITY

OWNER

Group Treasurer

BENEFIT

USD 226m stress gap funded before breach

DEADLINE

Mandate now; draw by 25 Nov for 29 Nov cash

CONSTRAINT

Fees, haircuts, eligible collateral, legal entities

FALLBACK

Prefund early; activate pre-cleared backup sources

02 RESOLVE POSITIONS & CASH

OWNER

IB COO + Market Risk + Treasury

BENEFIT

Verified settlements; release collateral only when confirmed

DEADLINE

First 48 hours; reconcile cash daily

CONSTRAINT

Close-out cost, market impact, settlement delays

FALLBACK

Temporary liquidity overlay; prioritize critical payments

03 PREVENT RECURRENCE

OWNER

CRO + IB COO; Internal Audit validates

BENEFIT

Reduce hidden exposures; strengthen escalation

DEADLINE

Interim controls now; full plan within 90 days

CONSTRAINT

Systems, staffing, conduct, implementation cost

FALLBACK

Dual approval; independent confirmation; tighter limits

TREASURY DECISION: authorize facility readiness now; fund only against verified cash forecasts and defined triggers.

Illustrative USD 250m T+2 facility addresses the modeled USD 226m stress need—not a historical UBS facility.